Activity 6: Board Decision Memo: Digital Filing Controls

Mapping: K2, A2 / LO2

Duration: 20 minutes

Deliverable: One-page board decision memo.

Goal

Frame a proportionate board decision that balances legal compliance, control quality, cost, implementation risk and operational benefit.

Real Case Study

Case: Nagore Trading - GST missing-trader-fraud scheme

Date: 29 June 2026

Status: Key syndicate member convicted and sentenced

Official source: IRAS - Key GST missing-trader-fraud syndicate member sentenced

Published Facts

IRAS reported that Giam Zi Hin, Luke was sentenced to six years' imprisonment for fraudulent trading in a GST missing-trader-fraud scheme involving about S$114 million in fictitious sales. Under his directions, Nagore Trading Pte Ltd used forged invoices from at least 12 local suppliers to create a false appearance of purchases and GST payments. Eight accused persons were charged in the scheme and the proceedings concluded with convictions.

Exercise Boundary

The case demonstrates that digitisation cannot replace transaction authenticity and due diligence. The board options, system controls and approval conditions are learner recommendations.

Questions

1. Which controls could test supplier identity, invoice authenticity and transaction substance?
2. What should remain a human approval or exception decision?
3. Which due-diligence evidence should be retained before claiming input tax?
4. Which conditions should a board attach to digital filing automation?

Detailed Step-by-Step

1. Write the decision request in one sentence.
2. Summarise relevant filing and record-keeping requirements.
3. Compare manual improvement, phased adoption and full adoption.
4. Assess cost, error risk, authorisation, business continuity and evidence quality.

5. Select a recommendation and state residual risks.
6. Add approval conditions, owner, timeline and post-implementation control test.

Worksheet

Requirement / issue	Business fact	Gap or impact	Decision / control	Owner	Deadline	Evidence

Acceptance Check

- ■ Decision explicit
- ■ Options compared fairly
- ■ Business facts drive recommendation
- ■ Conditions and verification are specific

Debrief

- What assumption had the greatest effect on your recommendation?
- What evidence would a director, auditor or regulator expect to see?
- What would you verify with qualified legal, tax or sector advice?

Sources

- IRAS - Key GST missing-trader-fraud syndicate member sentenced
- IRAS - SeamlessFilingFromSoftware for businesses/employers
- IRAS - Corporate income tax record keeping requirements
- ACRA - Financial reporting duties for directors

Educational activity only; verify current requirements with the relevant regulator and qualified advisers.

Real-Life Case Brief: Nagore Trading GST Fraud

Regulator: Inland Revenue Authority of Singapore (IRAS)

Published: 29 June 2026

Procedural status: Key syndicate member convicted and sentenced

Verified: 12 August 2026

Regulator-Published Facts

- Giam Zi Hin, Luke was sentenced to six years' imprisonment for fraudulent trading in a GST missing-trader-fraud scheme.
- The scheme involved about S$114 million in fictitious sales.
- Nagore Trading Pte Ltd used forged invoices from at least 12 local suppliers to create a false appearance of purchases and GST payments.

Classroom Boundary

The case demonstrates that digital filing cannot prove transaction authenticity. Proposed automated controls and board approval conditions are learner recommendations.

Official Evidence

IRAS - Key GST missing-trader-fraud syndicate member sentenced

Completion Checklist: Digital Filing Board Decision

- State the exact board decision requested.
- Verify supplier identity, authority and transaction substance.
- Match invoice, purchase order, receipt/delivery and payment evidence.
- Flag duplicate, unusual, round-dollar or unsupported transactions.
- Keep human approval for exceptions and input-tax claims.
- Compare manual improvement, phased adoption and full adoption fairly.
- Define access, segregation, audit-log, continuity and post-implementation tests.
- Make clear that automation does not validate a fabricated transaction.